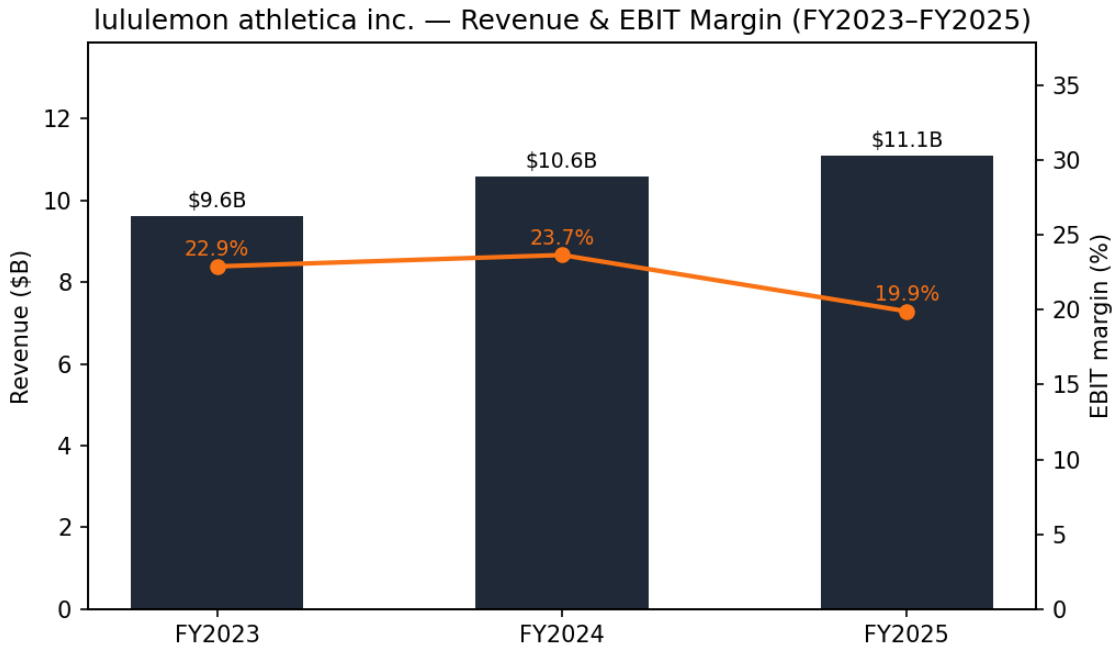
lululemon athletica inc. (LULU)

Equity Research & Valuation Report

Metric	Value
Current Price	$123.30
As-of Date	2026-09-25
DCF Implied Price	$215.11
Comps (EV/EBITDA) Implied Price	$272.90
Comps (P/E) Implied Price	$237.05

1. Financial Overview

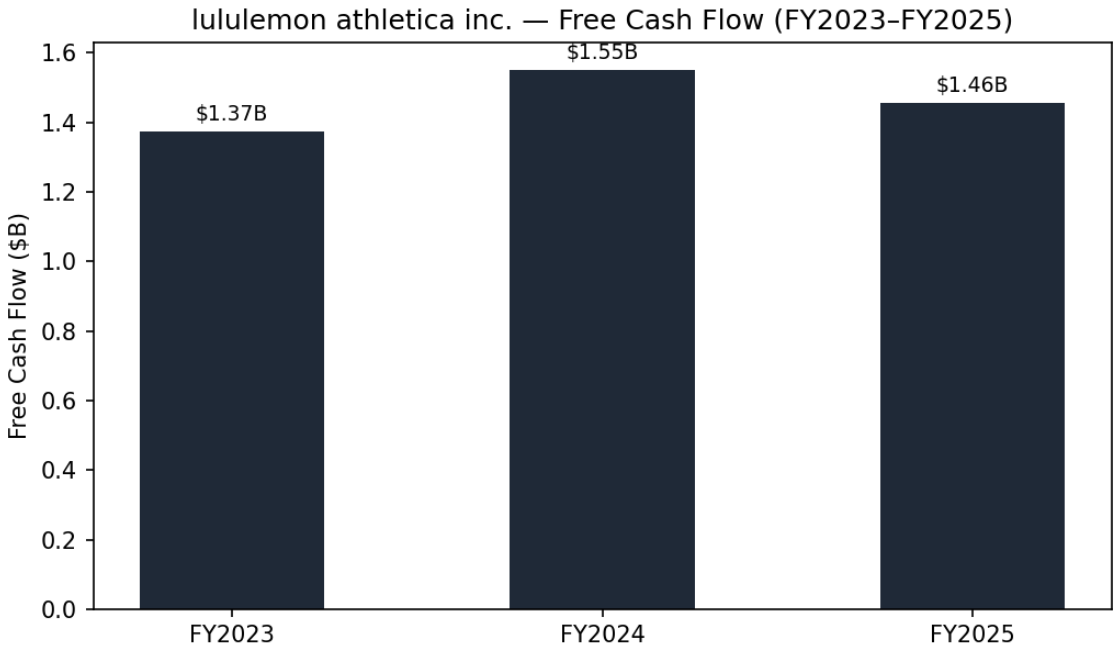
lululemon athletica inc.'s revenue grew 15.3% from FY2023 ($9,619M) to FY2025 ($11,090M). Over the same period, EBIT margin compressed 3.0 points, from 22.9% to 19.9%.



Fiscal Year	Revenue ($M)	EBIT Margin	EBITDA Margin	Net Margin
FY2023	$9,619	22.9%	26.8%	16.1%
FY2024	$10,588	23.7%	27.8%	17.1%
FY2025	$11,090	19.9%	24.2%	14.2%

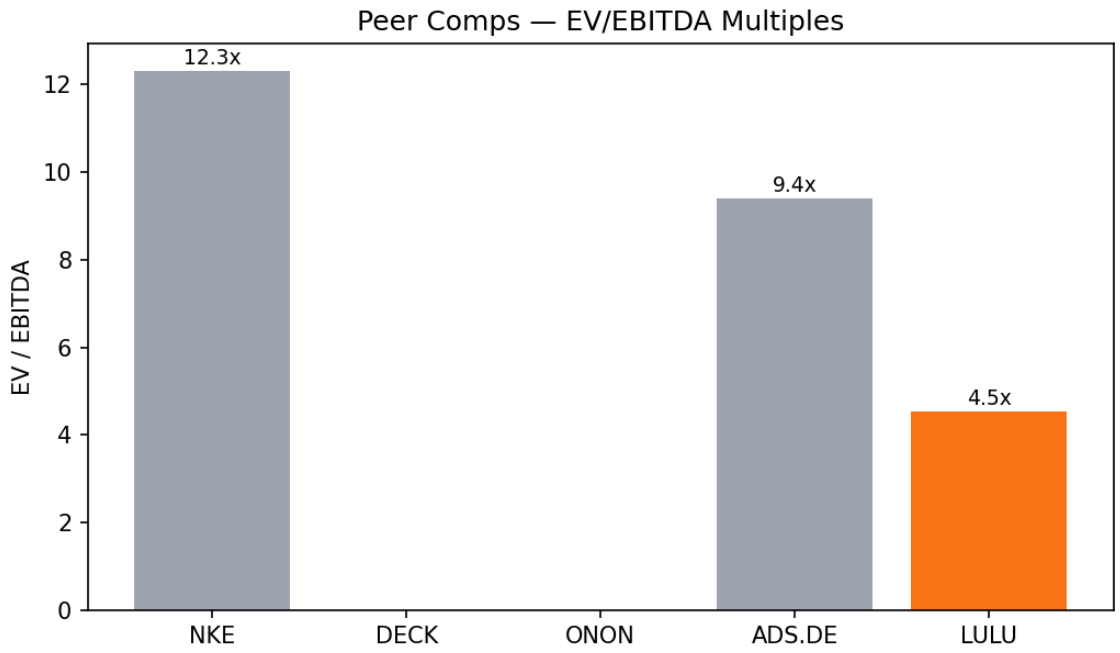
ROIC (FY2025): 54.6% | **Net Debt / EBITDA:** -0.67x | **Total Debt / EBITDA:** 0.00x

Free Cash Flow



2. Comparable Company Analysis

Ticker	Mkt Cap ($M)	Revenue ($M)	P/E	EV/EBITDA
NKE	$53,040	$46,309	17.0x	12.3x
DECK	$14,560	$5,472	n/a	n/a
ONON	$9,300	n/a	22.0x	n/a
ADS.DE	$30,300	$29,000	n/a	9.4x
LULU	$14,000	$11,090	10.1x	4.5x

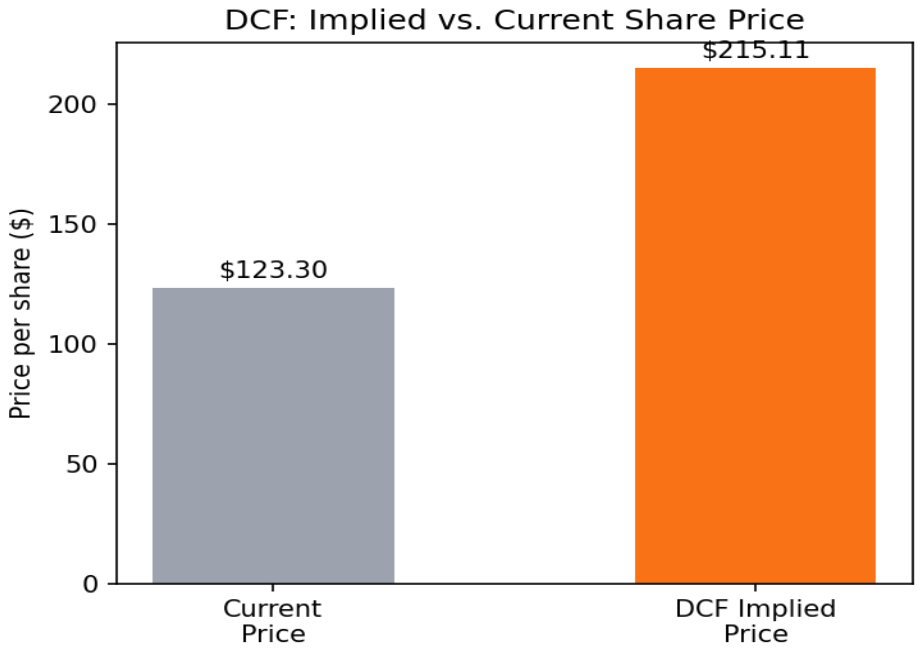


LULU is benchmarked against public peers in the same sector: NKE, DECK, ONON, and ADS.DE. Applying the peer-average EV/EBITDA multiple (10.9x) to LULU's latest-year EBITDA implies a share price of $272.90 — above the current price of $123.30, since LULU trades at a discount to peers (4.5x vs. 10.9x). The peer-average P/E (19.5x) applied to trailing EPS implies $237.05, above the current price — the gap between the two approaches is itself worth interrogating: EBITDA and EPS multiples can point in different directions when leverage, D&A, or one-off items move between the two.

3. Discounted Cash Flow Valuation

WACC Build-Up	Value
Cost of Equity (CAPM)	8.50%
After-tax Cost of Debt	3.17%
Weight of Equity	100.0%
Weight of Debt	0.0%
WACC	8.50%

Enterprise Value = PV(explicit FCFs) + PV(Terminal Value). Using a base-year FCF of $1,457M, a WACC of 8.50%, and a terminal growth rate of 2.5%, the model implies an enterprise value of $22,619M and an equity value of $24,426M ($215.11 per share). *Growth assumption:* Guidance-reset thesis: LULU cut FY2026 revenue guidance materially (from +2-4% to -5% to -7%) between its FY2025 year-end report and later FY2026 quarters, and the stock is down roughly 49% from its all-time high. This models a near-term revenue/FCF contraction before stabilizing, rather than reusing a generic growth assumption -- swap in your own view of the turnaround timeline.



Sensitivity: Implied Share Price (WACC x Terminal Growth)

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
7.5%	$222.02	$236.99	$254.94	$276.89	$304.33
8.0%	$206.10	$218.53	$233.22	$250.85	$272.39
8.5%	$192.45	$202.91	$215.11	$229.54	$246.84
9.0%	$180.63	$189.53	$199.79	$211.78	$225.93

9.5%	$170.28	$177.93	$186.66	$196.75	$208.51

4. Summary

Across the three approaches, implied value ranges from $215.11 to $272.90 per share — a spread of 27%. DCF, Comps (EV/EBITDA), Comps (P/E) imply upside to the $123.30 current price. That spread — not any single number — is the actual investment debate: each method leans on a different assumption (a growth/discount-rate thesis for the DCF, a peer set for comps), and defending which one you trust most is the real analytical work.

This report was built as an independent educational/portfolio project using public SEC filings and market data aggregators. It is not investment research and should not be relied upon for investment decisions. All models and assumptions are documented in the accompanying source code.